

Concluding Thoughts

We have addressed the question about how much a retiree can spend sustainably from an investment portfolio in retirement, concluding in this chapter with a further look about the value of making good financial decisions and how readers can obtain more help with their financial planning.

This book has focused on the probability-based school for retirement that emphasizes the role of an investment portfolio, without further consideration about the potential role for risk pooling with lifetime income guarantees or other insurance products. My next volume will bring annuities and insurance into the mix. This book's strategies are most appropriate for managing total spending in the probability-based school and for managing the discretionary-spending component in the safety-first school.

I have described the findings of a large body of financial planning research regarding sustainable spending from investment portfolios in the face of a variety of retirement risks. We began with the simple PMT formula that describes the relationship between sustainable spending, investment returns, and time horizon. We discussed how longevity risk and market risk impact decisions about appropriate assumptions for this formula. We then discussed studies that look at the spending decision using historical data and Monte Carlo simulations, such as William Bengen's SAFEMAX and the Trinity study.

We then examined how the analysis changes when we modify the assumptions used in these classic studies. We find that sustainable spending may be less if we consider the international experience, incorporate today's low bond yields and increasing longevity, incorporate investment fees or portfolio underperformance, or use a less aggressive asset allocation. We also find that sustainable spending may be greater if we consider more realistic spending patterns that decline with age, a more diversified investment portfolio, flexibility and the use of dynamic spending strategies, and a capacity and tolerance on the part of the retiree to accept a greater